

Consolidated Condensed Interim Statement of Financial Position

	Note	Un-Audited December 31, 2024 (Rupees in thousand)	Audited June 30, 2024
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Authorised capital			
- 950,000,000 (June 30, 2024:950,000,000) ordinary shares of Rs 10 each		9,500,000	9,500,000
- 50,000,000 (June 30, 2024:50,000,000) preference shares of Rs 10 each		500,000	500,000
		10,000,000	10,000,000
Issued, subscribed and paid up share capital 438,119,118 (2024:438,119,118) ordinary shares of Rs 10 each		4,381,191	4,381,191
Reserves		40,204,931	33,857,722
Un-appropriated profit		42,131,022	38,441,045
Attributable to owners of the parent company		86,717,144	76,679,958
Non-controlling interest		3,047,453	2,867,117
		89,764,597	79,547,075
NON-CURRENT LIABILITIES			
Long term finances - secured	5	16,782,311	17,435,308
Deferred government grant	6	122,051	170,232
Long term deposits		531,937	572,748
Deferred liabilities		1,031,587	944,549
Deferred taxation		15,769,848	13,495,346
		34,237,734	32,618,183
CURRENT LIABILITIES			
Trade and other payables		15,698,823	13,319,937
Accrued markup		683,764	1,417,035
Short term borrowing-secured		16,392,270	15,108,379
Current portion of non-current liabilities		3,450,207	5,577,710
Unclaimed dividend		34,179	34,200
Provision for taxation		35,089	209,416
		36,294,332	35,666,677
Contingencies and Commitments			
	7	160,296,663	147,831,935

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial statements.



Chief Executive

As At December 31, 2024 (Un-audited)

	Note	Un-Audited December 31, 2024 (Rupees in thousand)	Audited June 30, 2024
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	8	83,800,496	83,859,386
Intangible asset		28,768	42,763
Biological assets		1,201,480	1,167,436
Investments		18,548,752	15,213,597
Long term deposits		61,568	61,568
		103,641,064	100,344,750
CURRENT ASSETS			
Stores, spares and loose tools		15,318,252	14,445,071
Stock-in-trade		6,346,070	9,528,482
Trade debts		3,028,958	956,035
Investments		22,845,969	18,409,908
Advances, deposits, prepayments and other receivables		982,305	991,894
Contract assets		56,206	84,893
Income tax recoverable		1,806,316	2,083,669
Cash and bank balances		6,271,523	987,233
		56,655,599	47,487,185
		160,296,663	147,831,935

Chief Financial Officer

Director

Consolidated Condensed Interim Statement of Profit or Loss

For the Quarter and Six-Month Period Ended December 31, 2024 (Un-audited)

	2024		2023	
	July to December	October to December	July to December	October to December
	(Rupees in thousand)		(Rupees in thousand) (Re-stated) (Re-stated)	
Sales	40,145,909	23,435,094	37,380,580	19,756,456
Cost of sales	(31,161,740)	(17,593,233)	(31,312,226)	(17,077,223)
Gross profit	8,984,169	5,841,861	6,068,354	2,679,233
Administrative expenses	(715,343)	(371,536)	(646,361)	(327,781)
Selling and distribution expenses	(1,958,752)	(1,140,037)	(1,203,883)	(693,590)
Net impairment reversal on financial assets	70,303	70,303	-	-
Other expenses	(342,920)	(291,209)	52,670	134,041
Changes in fair value of biological assets	240,827	110,914	207,287	91,352
Other income	2,268,476	1,180,354	2,084,894	1,218,684
Finance cost	(2,791,267)	(1,072,656)	(4,432,014)	(2,176,393)
Profit before taxation and levy	5,755,493	4,327,994	2,130,947	925,546
Levy	(298,262)	(147,338)	(270,379)	(151,521)
Profit before income tax	5,457,231	4,180,656	1,860,568	774,025
Taxation	(1,595,031)	(1,172,347)	(620,025)	(258,557)
Profit for the period	3,862,200	3,008,309	1,240,543	515,468
Attributable to :				
Equity holders of the parent	3,689,977	2,873,580	1,073,225	377,162
Non-controlling interest	172,223	134,729	167,318	138,306
	3,862,200	3,008,309	1,240,543	515,468
Earnings per share (basic and diluted - in Rupees)	8.42	6.56	2.45	0.86

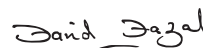
The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial statements.



Chief Executive



Chief Financial Officer



Director

Consolidated Condensed Interim Statement of Comprehensive Income

For the Quarter and Six-Month Period Ended December 31, 2024 (Un-audited)

	2024		2023	
	July to December	October to December	July to December	October to December
	(Rupees in thousand)		(Rupees in thousand)	
Profit for the period	3,862,200	3,008,309	1,240,543	515,468
Other comprehensive income for the period				
Items that may be re-classified subsequently to profit or loss:	-	-	-	-
Items that will not be subsequently re-classified to profit or loss:				
Change in fair value of investments at Fair Value through Other Comprehensive Income (FVOCI) - net of tax	6,459,822	5,452,914	7,002,502	5,096,297
Other comprehensive income for the period	6,459,822	5,452,914	7,002,502	5,096,297
Total comprehensive income for the period	10,322,022	8,461,223	8,243,045	5,611,765
Attributable to :				
Equity holders of parent	10,037,186	8,241,636	7,955,230	5,383,833
Non-controlling interest	284,836	219,587	287,815	227,932
	10,322,022	8,461,223	8,243,045	5,611,765

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial statements.



Chief Executive



Chief Financial Officer



Director

Consolidated Condensed Interim Statement of Changes in Equity

For the Six-Month Period Ended December 31, 2024 (Un-audited)

	Capital reserve			Revenue reserve			Total equity attributable to shareholders of parent company	Non-controlling interest	Total equity
	Share capital	Share premium	FVOCI reserve	Capital redemption reserve fund	General reserve	Un-appropriated profits			
Balance as at June 30, 2023 - Audited	4,381,191	4,557,163	12,472,308	353,510	5,110,851	37,785,778	64,660,801	2,482,081	67,142,882
Total comprehensive income for the period									
- Profit for the period	-	-	-	-	-	1,073,225	1,073,225	167,318	1,240,543
- Other comprehensive income for the period									
- Changes in fair value of investments at Fair Value through OCI - net of tax	-	-	6,882,005	-	-	-	6,882,005	120,497	7,002,502
	-	-	6,882,005	-	-	1,073,225	7,955,230	287,815	8,243,045
Balance as at December 31, 2023 - Unaudited	4,381,191	4,557,163	19,354,313	353,510	5,110,851	38,859,003	72,616,031	2,769,896	75,385,927
Balance as at June 30, 2024 - Audited	4,381,191	4,557,163	23,836,198	353,510	5,110,851	38,441,045	76,679,958	2,867,117	79,547,075
Total comprehensive income for the period									
- Profit for the period	-	-	-	-	-	3,689,977	3,689,977	172,223	3,862,200
- Other comprehensive income for the period									
- Changes in fair value of investments at Fair Value through OCI - net of tax	-	-	6,347,209	-	-	-	6,347,209	112,613	6,459,822
	-	-	6,347,209	-	-	3,689,977	10,037,186	284,836	10,322,022
Total contributions by and distributions to owners of the Company recognised directly in equity								(104,500)	(104,500)
Balance as at December 31, 2024 - Unaudited	4,381,191	4,557,163	30,183,407	353,510	5,110,851	42,131,022	86,717,144	3,047,453	89,764,597

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial statements.



Chief Executive



Chief Financial Officer



Director

Consolidated Condensed Interim Statement of Cash Flows

For the Six-Month Period Ended December 31, 2024 (Un-audited)

		2024 July to December (Rupees in thousand)	2023 July to December (Re-stated)
	Note		
Cash flows from operating activities			
Cash generated from operations	10	11,169,859	9,103,744
Finance cost paid		(3,524,538)	(4,831,373)
Retirement and other benefits paid		(185,434)	(79,476)
Net income tax (paid) / refund		(488,881)	1,414,365
Levy - final taxes paid		(298,262)	(270,379)
Long term deposits - net		(40,811)	25,359
Net cash inflow from operating activities		6,631,933	5,362,240
Cash flows from investing activities			
Payments for property, plant and equipment and Intangibles		(1,969,365)	(877,741)
Proceeds from disposal of property, plant and equipment		49,610	66,121
Purchase of biological assets		-	(7,350)
Proceeds from sale of biological assets		110,258	363,200
Investment in equity and debt instruments		(40,000)	-
Short term investments		-	(10,000)
Interest received		48,916	-
Dividend received		2,096,112	1,802,526
Net cash inflow from investing activities		295,531	1,336,756
Cash flows from financing activities			
Repayment of long term finances		(4,420,681)	(3,796,549)
Buy back of shares from non-controlling interest		(104,500)	-
Dividend paid		(23)	(258)
Proceeds from long term finances		1,592,000	9,160,185
Net cash (outflow)/inflow from financing activities		(2,933,204)	5,363,378
Net increase in cash and cash equivalents		3,994,260	12,062,374
Cash and cash equivalents at the beginning of the year		(14,121,146)	(26,725,163)
Effect of exchange rate changes on cash and cash equivalents		6,139	97,645
Cash and cash equivalents at the end of period	11	(10,120,747)	(14,565,144)

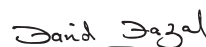
The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial statements.



Chief Executive



Chief Financial Officer



Director

Notes to and Forming Part of The Consolidated Condensed Interim Financial Statements

For the Six-Month Period Ended December 31, 2024 (Un-audited)

1. Legal status and nature of business

The group comprises of:

- D. G. Khan Cement Company Limited (the parent company);
- Nishat Packaging Limited (formerly Nishat Paper Products Company Limited);
- Nishat Dairy (Private) Limited; and

The parent company is a public limited company incorporated in Pakistan and is listed on Pakistan Stock Exchange. The registered office of the Company is situated at Nishat House, 53-A, Lawrence Road, Lahore. The Company is principally engaged in the production and sale of Clinker, Ordinary Portland Cement of different variations and Sulphate Resistant Cement. It has four cement plants, two plants located at Khofli Sattai, District Dera Ghazi Khan ('D.G. Khan'), one at Khairpur, Tehsil Kallar Kahar, District Chakwal ('Khairpur') and one at District Hub ('Hub').

Nishat Packaging Limited (formerly Nishat Paper Products Company Limited) is a public limited company incorporated in Pakistan under the Companies Ordinance, 1984 on July 23, 2004. It is principally engaged in the manufacture and sale of paper products and packaging material.

Nishat Dairy (Private) Limited was incorporated in Pakistan under the Companies Ordinance 1984 on October 28, 2011. The principal activity of the company is to carry on the business of production of raw milk.

The registered office of the Group is situated at Nishat House, 53-A, Lawrence Road, Lahore. The parent company's holding in its subsidiaries is as follows:

Effective percentage of holding

- | | |
|---|--------|
| - Nishat Packaging Limited (formerly Nishat Paper Products Company Limited) | 55% |
| - Nishat Dairy (Private) Limited | 55.10% |

2. Basis of preparation

2.1 Statement of compliance

These consolidated condensed interim financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan for interim financial reporting. The accounting and reporting standards as applicable in Pakistan for interim financial reporting comprise of:

- International Accounting Standard (IAS) 34, Interim Financial Reporting, issued by the International Accounting Standards Board (IASB) as notified under the Companies Act, 2017; and

- Provisions of and directives issued under the Companies Act, 2017.

Where the provisions of and directives issued under the Companies Act, 2017 differ with the requirements of IAS 34, the provisions of and directives issued under the Companies Act, 2017 have been followed.

- 2.2** These consolidated condensed interim financial statements are un-audited and are being submitted to the members as required by section 237 of the Companies Act, 2017 (the 'Act').

These consolidated condensed interim financial statements do not include all of the information required for annual financial statements and should be read in conjunction with the annual financial statements as at and for the year ended June 30, 2024. Selected explanatory notes are included to explain events and transactions that are significant to and understanding of the changes in the Group's financial position and performance since the last annual financial statements.

3. Material Accounting Policy Information

- 3.1** The accounting policies and the methods of computation adopted in the preparation of these consolidated condensed interim financial statements are the same as those applied in the preparation of preceding annual published financial statements of the Group for the year ended June 30, 2024 except for adoption of new and amended standards as set out in note 3.2 and 3.3.

3.2 Standards, amendments and interpretations to International Financial Reporting Standards (IFRS) that are effective in the current period

Certain standards, amendments and interpretations to International Financial Reporting Standards (IFRS) are effective for accounting periods beginning on July 1, 2024, but are considered not to be relevant or to have any significant effect on the Group's operations (although they may affect the accounting for future transactions and events) and are, therefore, not detailed in these consolidated condensed interim financial statements except for the following:

a) IAS 12 Application Guidance on Accounting for Minimum Taxes and Final Taxes

The Group has changed its accounting policy to recognise such taxes as 'Levies' which were previously being recognised as 'Income Tax' in line with "IAS 12 Application Guidance on Accounting for Minimum Taxes and Final Taxes" issued by the Institute of Chartered Accountants of Pakistan vide its circular No. 07/2024 dated May 15, 2024. This change has been accounted for retrospectively in line with the requirements of IAS 8 "Accounting Policies, Changes in Accounting Estimates and Errors". There has been no effect on the consolidated statement of financial position, the consolidated statement of comprehensive income, the consolidated statement of changes in equity and earnings / loss per share as a result of this change.

Effect on consolidated statement of profit or loss	Had there been no change in accounting policy	Impact of change in accounting policy	After incorporating effects of change in accounting policy
---	---	--	---

(Rupees In thousand)

For the period ended December 31, 2023

Levy	-	(270,379)	(270,379)
Profit before income tax	2,130,947	(270,379)	1,860,568
Taxation	(890,404)	270,379	(620,025)

For the quarter ended September 30, 2023

Levy	-	(118,858)	(118,858)
Profit before income tax	1,205,401	(118,858)	1,086,543
Taxation	(480,326)	118,858	(361,468)

3.3 Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

There are certain standards, amendments to the accounting standards and interpretations that are mandatory for the Group's accounting periods beginning on or after July 01, 2025 but are considered not to be relevant or to have any significant effect on the Group's operations and are, therefore, not detailed in these consolidated condensed interim financial statements.

4. Accounting estimates

The preparation of these consolidated condensed interim financial statements requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates.

In preparing these consolidated condensed interim financial statements, the significant judgments made by management in applying accounting policies and key sources of estimation were the same as those that were applied to the annual financial statements of the Group for the year ended June 30, 2024, with the exception of change in estimate that is required in determining the provision for income taxes as referred to in note 4.1.

4.1 Taxation

Income tax expense is recognized in each interim period based on best estimate of the weighted average annual income tax rate expected for the full financial year. Amounts accrued for income tax expense in one interim period may have to be adjusted in a subsequent interim period of that financial year if the estimate of the annual income tax rate changes.

December 31, 2024 Un-audited (Rupees in thousand)	June 30, 2024 audited
--	-----------------------------

5. Long term finances

Long term loans	- note 5.1	20,155,946	22,883,554
Current portion shown under current liabilities		(3,373,635)	(5,448,246)
		16,782,311	17,435,308

5.1 The reconciliation of the carrying amount is as follows:

Opening balance		23,182,553	17,912,658
Disbursements during the period		1,592,000	12,602,529
Repayment during the period		(4,384,487)	(7,332,634)
		20,390,066	23,182,553
Unamortized liability	- note 5.1.1	(234,120)	(298,999)
Closing balance		20,155,946	22,883,554

5.1.1 The reconciliation of the carrying amount of unamortized liability is as follows:

Opening balance	(298,999)	(475,622)
Unwinding of discount on liability	64,879	176,623
Closing balance	(234,120)	(298,999)

6. Deferred income - Government grant

This represents deferred grant recognized in respect of the benefit of below-market interest rate on the facilities availed under State Bank of Pakistan's (SBP) Refinance Scheme for Payment of Wages and Salaries to the Workers and Employees of Business Concerns ('Refinance Scheme'). The benefit has been measured as the difference between the fair value of the loan and the proceeds received. The Group used the prevailing market rate of mark-up at the date of disbursement for similar instruments to calculate fair values of respective loans.

7. Contingencies and commitments

7.1 Contingencies

There is no significant change in contingencies from the preceding annual consolidated financial statements of the Group for the year ended June 30, 2024 other than those mentioned below. The banks have issued the following guarantees on Group's behalf in favor of:

- (i) Directorate General of Mines and Minerals, Punjab against enhanced royalty rates on minerals amounting to Rs. 748.27 million (June 2024: Rs 172.08 million).
- (ii) The Director Excise and Taxation, Karachi on account of infrastructure development cess amounting to Rs. 237.42 million (June 2024: Rs 197.42 million).

- (iii) Letter of guarantee of Rs 34 million (June 2024: Rs 30 million) in favour of Director, Excise and Taxation, Karachi under direction of Sindh High Court in respect of suit filed for levy of infrastructure cess;
- (iv) Sindh High Court against levy of Sales Tax, custom duty and excise amounting to Rs 176.86 million (June 2024: Rs 228.17 million).
- (v) K-Electric against security deposits for electricity bills amounting to Rs 193.71 million (June 2024: Rs 142.40 million).

7.1.1 The Group has provided a guarantee to Meezan Bank Limited (MBL) against the loan provided by MBL to Hyundai Nishat Motor (Private) Limited, a related party, amounting to Rs. 1,104.8 million (June 2024: Rs. 1,149.3 million).

7.2 Commitments in respect of

- (i) Contracts for capital expenditure Rs 153.27 million (June 30, 2024: Rs 107.61 million).
- (ii) Letters of credit for capital expenditure of Rs 151 million (June 30, 2024: Rs 48.05 million).
- (iii) Letters of credit other than capital expenditure Rs 1,440.03 million (June 30, 2024: 1,573.27 million).

8. Property, plant and equipment

		December 31, 2024	June 30, 2024
		Un-audited	audited
		(Rupees in thousand)	
Operating Assets	-note 8.1	80,541,341	81,839,481
Capital work-in-progress	-note 8.2	2,916,216	1,689,590
Major spare parts and stand-by equipment		342,939	330,315
		83,800,496	83,859,386
8.1 Operating assets			
Opening book value		81,839,481	83,234,634
Add: Additions during the period/ year	-note 8.1.1	730,115	2,666,227
Re-classification from assets held for sale		-	172,638
		82,569,596	86,073,499
Less: Disposals during the period/ year - net book value		28,681	158,843
Depreciation charged during the period/ year		1,999,574	4,075,175
		2,028,255	4,234,018
Closing book value		80,541,341	81,839,481

December 31, 2024	June 30, 2024
Un-audited	audited
(Rupees in thousand)	

8.1.1 Major additions during the period

Free hold land	750	374,198
Building on freehold land	10,823	166,745
Office building	-	57,642
Roads	-	2,054
Plant and machinery	434,966	1,533,473
Quarry and other equipment	5,741	570
Furniture, fixtures and equipment	121,007	85,349
Motor vehicles	153,143	157,919
Air Craft	3,500	-
Power and water supply lines	185	288,277
	730,115	2,666,227

8.2 Capital work-in-progress

Civil works	2,019,259	1,013,263
Plant and machinery	688,640	540,006
Advances to suppliers and contractors	159,642	110,943
Others	48,675	25,378
	2,916,216	1,689,590

9. Transactions with related parties

The related parties include related parties on the basis of common directorship, group companies, key management personnel including directors and post employment benefit plans. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the company, directly or indirectly, including any director (whether executive or otherwise) of that company. The Group in the normal course of business carries out transactions with various related parties. Significant transactions with related parties are as follows:

		July to December	
		2024	2023
		Un-audited	Un-audited
		(Rupees in thousand)	
Relationship with the Group	Nature of transaction		
Other related parties	Purchase of goods and services	188,964	361,663
	Insurance premium	231,537	205,202
	Sale of goods and services	587,287	152,930
	Sale of assets	-	459
	Insurance claims received	41,227	10,150
	Rental Income	1,067	1,024
	Reimbursement of expenses	53,247	-
	Dividend income	2,085,077	1,796,579
Key Management personnel	Salaries and other employment benefits	215,640	162,341
Post employment benefit plans	Expense charged in respect of staff retirement benefits plans	272,472	245,399

All transactions with related parties have been carried out on commercial terms and conditions.

July to December	
2024	2023
Un-audited	Un-audited
(Rupees in thousand)	
	(Re-stated)

10. Cash flow from operating activities

Profit before tax	5,457,231	1,860,568
Adjustment for :		
- Depreciation on property, plant and equipment	1,999,574	2,015,005
- Amortization of intangible assets	13,995	5,923
- (Gain)/Loss on disposal of operating fixed assets	(20,933)	60,903
- Net loss/(gain) on disposal of biological assets	96,525	(134,693)
- Gain on changes in fair value biological asset	(240,827)	(207,287)
- Reversal of impairment loss on financial assets	(70,303)	-
- Gain on changes in fair value of investment through P&L	(10)	(9)
- Interest income	(48,916)	-
- Dividend income	(2,093,491)	(1,802,526)
- Retirement and other benefits accrued	272,472	146,479
- Exchange gain - net	(6,139)	(97,645)
- Levy	298,262	270,379
- Finance cost	2,791,267	4,432,014
Profit before working capital changes	8,448,707	6,549,111

Working capital changes

- Increase in stores, spares and loose tools	(873,181)	(316,367)
- Decrease in stock-in-trade	3,182,412	1,597,970
- (Increase)/decrease in trade debts	(2,002,620)	185,373
- Decrease in contract assets	28,687	79,530
- Decrease in advances, deposits, prepayments and other receivables	6,968	150,640
- Increase in trade and other payables	2,378,886	857,487

Net working capital changes	2,721,152	2,554,633
------------------------------------	------------------	------------------

Cash generated from operations	11,169,859	9,103,744
---------------------------------------	-------------------	------------------

11. Cash and cash equivalents

Short term borrowings - secured	(16,392,270)	(15,839,208)
Cash and bank balances	6,271,523	1,274,064
Total cash and cash equivalents	(10,120,747)	(14,565,144)

12. Financial risk management

12.1 Financial risk factors

The Group's activities expose it to a variety of financial risks: market risk (including currency risk, interest rate risk, and other price risk), credit risk and liquidity risk.

The consolidated condensed interim financial information does not include all financial risk management information and disclosures required in the annual financial statements, and should be read in conjunction with the group's annual financial statements as at June 30, 2024.

There have been no changes in the risk management department or in any risk management policies since the year ended June 30, 2024.

12.2 Fair value estimation

a) Fair value hierarchy

The different levels for fair value estimation used by the Group have been defined as follows:

- The fair value of financial instruments traded in active markets (such as publicly traded equity securities) is based on quoted (unadjusted) market prices at the end of the reporting period. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in Level 1.
- The fair value of financial instruments that are not traded in an active market (for example over-the-counter derivatives) is determined using valuation techniques which maximize the use of observable market data and rely as little as possible on entity specific estimates. If all significant inputs required to determine fair value of an instrument are observable, the instrument is included in Level 2.
- If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity instruments.

To provide an indication about the reliability of the inputs used in determining fair value, the Group classifies its financial instruments into the three levels prescribed above. The following table presents the Group's financial assets measured and recognised at fair value at June 30, 2024 on a recurring basis:

	Level 1	Level 2	Level 3	Total
	(Rupees in thousand)			

**Recurring fair value measurements
As at December 31, 2024**

Assets

Investments - FVOCI	35,362,938	-	5,966,746	41,329,684
Investments - FVPL	37	-	-	37
Biological assets	-	-	1,201,480	1,201,480

As at June 30, 2024

Assets

Investments - FVOCI	27,924,771	-	5,673,708	33,598,479
Investments - FVPL	26	-	-	26
Biological assets	-	-	1,167,436	1,167,436

The Group's policy is to recognise transfers into and transfers out of fair value hierarchy levels as at the end of the reporting period.

There were no transfers between Level 1, 2 and 3 during the period. There were no changes in valuation techniques during the period.

The Group did not measure any financial assets or financial liabilities at fair value on a non-recurring basis as at December 31, 2024.

b) Valuation techniques used to determine fair values

Specific valuation techniques used to value financial instruments include:

- the use of quoted market prices or dealer quotes for similar instruments; and
- for other financial instruments - discounted cash flow analysis.

c) Fair value measurements using significant unobservable inputs

The main level 3 inputs used by the Company to determine fair value of investment in Nishat Hotels and Properties Limited ('NHPL') and Hyundai Nishat Motor (Private) Limited ('HNMPL') are derived and evaluated as follows.

- Discount rate is determined using a capital asset pricing model to calculate a post-tax rate that reflects current market assessments of the time value of money and the risk specific to NHPL and HNMPL.
- Long term growth rate is estimated based on historical performance of NHPL and HNMPL and current market information for similar type of entities.

The significant assumptions used in this valuation technique for NHPL are as follows:

- Discount rate of 16.36% per annum.

- Long term growth rate of 2% per annum for computation of terminal value.
- Annual growth in costs is linked to inflation with a range of 6.50% to 9.50% per annum.

The significant assumptions used in this valuation technique for HNMPL are as follows:

- Discount rate of 17.59% per annum.
- Long term growth rate of 2% per annum for computation of terminal value.
- Annual growth in costs are linked to inflation and currency devaluation both of 4% per annum respectively, and revenue are also linked to currency devaluation at 4% per annum.

Sensitivity analysis

Sensitivity analysis of the significant assumptions used in the valuation technique are as follows:

If the discount rate increases by 1% with all other variables held constant, the impact on fair value as at December 31, 2024 would be Rs 252.083 million and Rs 193.482 million lower for NHPL and HNMPL respectively.

If the long term growth rate decreases by 1% with all other variables held constant, the impact on fair value as at December 31, 2024 would be Rs 93.750 million and Rs 93.718 million lower for NHPL and HNMPL respectively.

If inflation decreases by 1% with all other variables held constant, the impact on fair value as at December 31, 2024 would be Rs 20.833 million and Rs 47.426 million higher for NHPL and HNMPL respectively.

If interest rate increases by 1% with all other variables held constant, the impact on fair value as at December 31, 2024 would be Rs 7.292 million and Rs 17.130 million lower for NHPL and HNMPL respectively.

13. Operating segments

Segment information is presented in respect of the group's business. The primary format, business segment, is based on the group's management reporting structure.

The group's operations comprise of the following main business segment types:

Type of segments Nature of business

Cement	Production and sale of clinker, Ordinary Portland and Sulphate Resistant Cements.
Paper	Manufacture and supply of paper products and packing material.
Dairy	Production and sale of raw milk.

13.1 Segment analysis and reconciliation - condensed

The information by operating segment is based on internal reporting to the Group executive committee, identified as the 'Chief Operating Decision Maker' as defined by IFRS 8. This information is prepared under the IFRS's applicable to the consolidated financial statements. All group financial data are assigned to the operating segments.

July 1 to December 31 Un-audited

Rupees in thousands	Cement		Paper		Dairy/Farm		Elimination - net		Consolidated	
	July to December 2024 un-audited	July to December 2023 un-audited	July to December 2024 un-audited	July to December 2023 un-audited	July to December 2024 un-audited	July to December 2023 un-audited	July to December 2024 un-audited	July to December 2023 un-audited	July to December 2024 un-audited	July to December 2023 un-audited
Revenue from								(Re-stated)		(Re-stated)
- External Customers	36,918,169	34,784,335	563,014	(66,805)	2,664,726	2,663,050	-	-	40,145,909	37,380,580
- Inter-group	73,007	-	708,839	1,406,812	-	-	(781,846)	(1,406,812)	-	-
	36,991,176	34,784,335	1,271,853	1,340,007	2,664,726	2,663,050	(781,846)	(1,406,812)	40,145,909	37,380,580
Segment gross profit/(loss)	8,445,463	5,543,149	182,519	262,616	376,832	311,318	(20,645)	(48,729)	8,984,169	6,068,354
Segment expenses	(2,759,351)	(1,848,181)	(19,387)	(26,541)	(167,974)	76,965	-	183	(2,946,712)	(1,797,574)
Changes in fair value of biological assets	-	-	-	-	240,827	207,287	-	-	240,827	207,287
Other income	2,156,577	2,163,395	82,987	69,156	46,937	15,315	(18,025)	(162,972)	2,268,476	2,084,894
Financial charges	(2,639,552)	(4,115,667)	(150,284)	(303,760)	(1,431)	(12,587)	-	-	(2,791,267)	(4,432,014)
Taxation and levy	(1,679,892)	(688,382)	(28,346)	9,255	(185,055)	(211,277)	-	-	(1,893,293)	(890,404)
Profit/(loss) after taxation	3,523,245	1,054,314	67,489	10,726	310,136	387,021	(38,670)	(211,518)	3,862,200	1,240,543
Depreciation	1,882,064	1,890,619	31,513	30,123	75,192	80,434	10,805	13,829	1,999,574	2,015,005
Capital expenditure	(1,045,703)	(870,582)	(881,515)	(1,343)	(44,387)	(5,816)	2,240	-	(1,969,365)	(877,741)
Net cash (outflow) / inflow from operating activities	6,017,567	5,099,823	412,679	984,764	309,826	(357,847)	(108,139)	(364,500)	6,631,933	5,362,240
Net cash inflow / (outflow) from investing activities	1,175,751	928,876	(837,026)	58,893	80,199	348,987	(123,393)	-	295,531	1,336,756
	31.12.2024 unaudited	30.06.2024 audited	31.12.2024 unaudited	30.06.2024 audited	31.12.2024 unaudited	30.06.2024 audited	31.12.2024 unaudited	30.06.2024 audited	31.12.2024 unaudited	30.06.2024 audited
<i>Rupees in thousands</i>										
Segment assets	150,012,591	138,385,754	8,186,488	6,785,450	5,240,755	5,268,136	(3,143,171)	(2,607,405)	160,296,663	147,831,935
Segment liabilities	64,432,235	62,538,216	5,665,895	4,582,597	1,496,935	1,601,701	(1,062,999)	(437,654)	70,532,066	68,284,860

13.2 Geographical segments

All segments of the group are managed on nation-wide basis and operate manufacturing facilities and sales offices in Pakistan only.

14. Date of authorization

These consolidated condensed interim financial statements were authorized for issue by the Board of Directors of the Company on February 19, 2025.

15. Corresponding figures

In order to comply with the requirements of the International Accounting Standard 34: 'Interim Financial Reporting', the condensed interim consolidated balance sheet and condensed interim consolidated statement of changes in equity have been compared with the balances of annual audited financial statements of preceding year, whereas, the condensed interim consolidated profit and loss account, condensed interim consolidated statement of comprehensive income and condensed interim consolidated cash flow statement have been compared with the balances of comparable period of immediately preceding year.

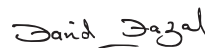
Corresponding figures have been re-arranged and reclassified, wherever necessary, for the purposes of comparison and better presentation as per reporting framework. However, no significant rearrangements have been made except as disclosed in note 3.2(a) to the consolidated condensed interim financial statements.



Chief Executive



Chief Financial Officer



Director



D.G. KHAN CEMENT COMPANY LIMITED
Nishat House, 53-A, Lawrence Road, Lahore-Pakistan.
UAN: +92-42-111-11-33-33